

P O R T F O L I O | I N V E S T M E N T A N A L Y S I S

CONFIDENTIAL INVESTMENT MEMO

Embedded Finance — B2B Marketplaces, Latin America

Series A / Series B | \$105-\$135M Deployment

RECOMMENDATION
STRONG CONVICTION

EXPECTED MOIC
7-11x Gross

CREDIT GAP
\$85B+ Annual

INVESTMENT THESIS

The most valuable financial institutions of the next decade in Latin America will not look like banks. They will look like marketplaces that learned to underwrite.

Latin America's \$1.3T B2B commerce ecosystem operates on financial infrastructure built for consumers, not businesses — creating an \$85B+ annual credit gap for SMEs transacting on digital marketplaces. Embedded finance layers deployed at the point of transaction within B2B vertical marketplaces represent a once-in-a-cycle opportunity to capture 3–8% of GMV as financial margin.

The regulatory window (Open Finance in Brazil, Colombia, and Mexico reaching maturity in 2024–2026) has created a 24–36 month asymmetric entry point where first-movers will build data compounding advantages that are structurally insurmountable.

THE CONVERGENCE: WHY NOW

VECTOR	STATUS	IMPLICATION
B2B Marketplace Maturation	~\$85–120B GMV in 2024 across LATAM verticals	Critical mass of digitized transactions for financial layering
Open Finance Regulation	BR Phase 4 live; CO Decreto 1297 operational; MX advancing	Asymmetric data access favoring disruptors over incumbents
BaaS Infrastructure Commoditization	Deployment cost: \$200K–\$500K in 3–6 months (vs. \$2M+ / 18mo)	Barrier shifted from technology to distribution + data

MARKET OPPORTUNITY

\$5.5B

TAM

LATAM embedded finance revenue

\$715M

SAM

BR + MX + CO target verticals

**\$105-
115M**

SOM

5-year portfolio capture

Implied portfolio value at 12–18x revenue multiple: \$1.3–\$2.1B on \$80–\$120M deployed capital, representing a 10–18x gross MOIC at the upper bound. This is a fund-defining opportunity.

EMBEDDABLE REVENUE POOL

PRODUCT LAYER	PENETRATION	TAKE RATE	REVENUE POOL
Working Capital Lending	25–35% of GMV	4–8% NIM	\$1.5–4.0B
Embedded Payments	60–80% of GMV	0.8–1.5%	\$0.7–2.1B
Embedded Insurance	10–20% of GMV	2–5% premium	\$0.3–1.8B
FX / Cross-Border	15–25% of GMV	0.5–2.0%	\$0.1–0.9B

RISK ASSESSMENT

01**Credit Risk — Portfolio Default****Severity: HIGH** | Probability: MOD-HIGH | **Residual: MODERATE**

Transactional data never stress-tested across full economic cycle. Mitigated by: 30–40% LTV caps, structural repayment integration, 30–90 day tenors, portfolio insurance layer.

02**Regulatory Risk — Framework Change****Severity: HIGH** | Probability: LOW-MOD | **Residual: LOW-MOD**

Evolving licensing frameworks across BR/MX/CO. Mitigated by: license-first strategy, dedicated regulatory affairs, geographic diversification, voluntary rate caps.

03**Adoption Risk — SME Willingness****Severity: MOD** | Probability: MODERATE | **Residual: MODERATE**

Trust deficit with non-bank providers. Mitigated by: invisible embedding ("show don't sell"), graduated exposure model, field sales integration, tax-neutral product design.

TARGET RETURN PROFILE

SCENARIO	PROB.	PORTFOLIO VALUE	MOIC	NET IRR	
Bull	25%	\$1.8-2.4B	14-18x	65-85%	
Base	45%	\$800M-1.3B	6-10x	40-55%	
Bear	25%	\$250-500M	2-4x	15-25%	
Catastrophic	5%	\$50-150M	0.4-1.2x	Negative	

EXPECTED VALUE (PROBABILITY-WEIGHTED)

7-11x Gross MOIC

Exceeds fund-level return threshold of 3-4x • Top-decile opportunity

CAPITAL DEPLOYMENT

TRANCHE	AMOUNT	PURPOSE
Initial Positions (3-4 cos)	\$50-65M	Series A/B lead; board seat
Follow-on Reserve	\$55-70M	Double down on winners
Total (36 months)	\$105-135M	Full thesis deployment

THE AUDACIOUS BET

By 2030, the three largest de facto SME lenders in Latin America will not be banks. They will be B2B vertical marketplaces — in food supply chain, agricultural inputs, and construction materials — that embedded financial products into their commercial platforms between 2025 and 2027.

These companies will each process \$2–8B in annual GMV, originate \$500M–\$2B in annual credit, and maintain default rates 40–60% below traditional bank SME portfolios — because they will underwrite on real-time commercial behavior, not financial statements.

One or two of these companies will be worth \$5–15B. They will be the Nubanks of B2B. And the fund that backed them at Series A will have captured one of the most asymmetric returns in LATAM venture history.

In Latin America, every decade produces one financial infrastructure shift that creates \$50B+ in enterprise value. The 2010s were consumer digital payments. The 2020s will be embedded B2B finance. The question is not whether to invest. The question is whether we invest early enough to matter.

CLASSIFICATION: Confidential — Investment Committee Only

RECOMMENDATION: Proceed to Deep Diligence on Shortlisted Targets